despite taking a precaution of demanding a broker's contract, he still had to serve Mundhra several notices before getting delivery of the shares.

Shroff expressed surprise that the bubble had burst so late. Shroff also testified that the LIC should have invested its money in a manner that was in the best interest of its policy-holders, rather than assuming the role of stabilizing the market. Shroff also rubbished the claims that there was a crisis in the market or that the LIC made the investments to 'remove a drag in the Calcutta market.' Shroff's expertise stumped the LIC counsel Sachindra Chaudhuri who confessed himself unequal to the task of examining such a witness. The hearing was adjourned. The Attorney General who was representing the government also did not cross examine Shroff. Shroff's powerful deposition not only blew the lid off Mundhra's shady deals but also left the LIC highly embarrassed. At the end of it all, Justice M.C. Chagla held T.T.K. morally responsible for the episode. Also indicted were Patel, Kamat, and L.S. Vaidyanathan, Managing Director of LIC. The Investment Committee members were saved because of Parekh's note. T.T.K. resigned protesting his innocence and the government framed charges against Patel and Kamat and a Board of Inquiry was appointed under Justice Vivian Bose to investigate the charges.

More than anything, the Mundhra episode and its aftermath brought into sharp focus, and redefined forever, the relationship between a Minister and his Secretary.[16] In his recollections, Patel tells his side of the story.[17] The annual budget for 1957–58 presented in May 1957 introduced revolutionary changes in the structure of Indian taxation by the levy of taxes on wealth and on expenditure. This seriously impaired business confidence and this decline in confidence was reflected in the index number of industrial securities. In particular, the Calcutta index registered a steep fall.[18] In order to restore confidence, the Finance Minister, T.T.K., decided to support and stabilize the market by using LIC funds for the purchase of sound equities and also allay fears through personal contacts with the business community.

A meeting was held in Calcutta on June 18, 1957, where T.T.K., Patel, RBI Governor H.V.R. Iengar, and SBI Chairman P.C. Bhattacharya met members of the business community. All of them were aware of how Mundhra had overstretched himself and that several brokers who held Mundhra shares by way of pledge were in difficulties because Mundhra could not redeem them nor pay the margins when required.[19] In June 1957,